

FORM TP 2016105

CANDIDATE – PLEASE NOTE!
PRINT your name on the line below and return this booklet with your answer sheet. Failure to do so may result in disqualification.

TEST CODE **01240010**

MAY/JUNE 2016

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**CARIBBEAN SECONDARY EDUCATION CERTIFICATE®
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 01 – General Proficiency

1 hour 15 minutes

25 MAY 2016 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

This test consists of 60 items. You will have 1 hour and 15 minutes to answer them.

In addition to this test booklet, you should have an answer sheet.

Each item in this test has four suggested answers lettered (A), (B), (C), (D). Read each item you are about to answer and decide which choice is best.

On your answer sheet, find the number which corresponds to your item and shade the space having the same letter as the answer you have chosen. Look at the sample item below.

Sample Item

The money that a business receives from the sale of goods or services is called its

- (A) assets
- (B) capital
- (C) income
- (D) resources

Sample Answer

(A) (B) ☒ (D)

The best answer to this item is “income”, so (C) has been shaded.

If you want to change your answer, erase it completely before you fill in your new choice.

When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, go on to the next one. You may return to that item later.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

1. The term 'trade' refers to

- (A) the selling of goods and services on the stock market
- (B) the movement of immigrants from one country to another
- (C) any commercial activity involving the exchange of goods and services
- (D) the negotiation process between trade unions and management

2. Which of the following types of business environments is MOST typical of the Commonwealth Caribbean?

- (A) Corporate state
- (B) Mixed economy
- (C) Centrally planned
- (D) Perfectly competitive

3. A person who has the ability to seek out and undertake the risk of new business opportunities is referred to as

- (A) a producer
- (B) an inventor
- (C) a shareholder
- (D) an entrepreneur

4. In a public limited company, the losses are borne by the

- (A) staff
- (B) directors
- (C) community
- (D) shareholders

In which of the following types of economic systems does the government make all decisions?

- (A) Mixed
- (B) Capitalist
- (C) Command
- (D) Subsistence

6. Which of the following is NOT an activity in the planning process?

- (A) Setting goals
- (B) Establishing policies
- (C) Identifying resources
- (D) Delegating responsibility

Item 7 refers to the following information.

Mr Lloyd, manager of LM Ltd holds regular staff meetings to listen to ideas from employees before making decisions that would affect the future of the company.

7. What leadership style does Mr Lloyd employ?

- (A) Autocratic
- (B) Democratic
- (C) Charismatic
- (D) Laissez faire

8. Selecting the objectives and the procedures for achieving goals is referred to as

- (A) planning
- (B) organizing
- (C) controlling
- (D) motivating

9. Which of the following demonstrates the characteristics of a good leader?

- I. Inspiring workers
- II. Delegating responsibilities
- III. Making intelligent decisions

- (A) I and II only
- (B) I and III only
- (C) II and III only
- (D) I, II and III

10. Under which of the following categories would subsidized meals for employees fall?

- (A) Fringe benefits
- (B) Duty allowance
- (C) Wages and salaries
- (D) Workers' compensation

11. Which of the following activities carried out in a firm will NOT be under the supervision of the marketing manager?

- (A) Packaging
- (B) Purchasing
- (C) Advertising
- (D) Distributing

12. An entrepreneur who wants to maintain control of the business would be advised to register the business as a

- (A) partnership
- (B) sole trader
- (C) limited company
- (D) private limited company

13. Which of the following is a regulatory issue for the entrepreneur?

- (A) Using a credit card to transact business
- (B) Offering hire purchase options to customers
- (C) Paying national insurance to the government
- (D) Advertising the business locally and regionally

14. The MOST important use of collateral security to the lender is that it

- (A) establishes the financial position of the borrower
- (B) can be seized if the borrower fails to pay
- (C) improves the borrower's chance of getting a loan
- (D) gives the lender an idea of the state of the business

15. Which of the following is NOT an example of an unethical business practice?

- (A) Money laundering
- (B) Nonpayment of taxes
- (C) Misleading advertisements
- (D) Retrenching inefficient workers

16. A post-dated cheque is one which

- (A) was written no longer than six months ago
- (B) is dated to agree with the date of the document requesting payment
- (C) is dated for payment at a future date
- (D) is dated by the bank on the day the cheque is presented for payment

17. Which of the following reasons can be used for voiding a contract?

- I. There was no consideration.
- II. There was no meeting of minds.
- III. The agreement was not in writing.

- (A) I and II only
- (B) I and III only
- (C) II and III only
- (D) I, II and III

18. A contract may be discharged by

- (A) breach
- (B) change of mind
- (C) inconsideration
- (D) misappropriation

19. Fred and his friends went to the cinema. On his way out Fred fell and was injured. What type of insurance would protect the owner of the cinema against claims made by Fred?

- (A) Industrial insurance
- (B) Public liability insurance
- (C) Fidelity guarantee policy
- (D) Employers' liability insurance

20. Which of the following types of cheques allows an individual to receive cash on demand?

- (A) Open
- (B) Crossed
- (C) Certified
- (D) Banker's

21. To which of the following industries does a firm involved in food processing belong?

- (A) Service
- (B) Extractive
- (C) Constructive
- (D) Manufacturing

22. Joseph has decided to leave his homeland of Jamaica to go to the USA in search of a better life. This movement is referred to as

- (A) brain drain
- (B) early migration
- (C) internal migration
- (D) external migration

Item 23 refers to the following information.

Mr Jones receives a job offer from a company in Barbados. In order to take up this new job, Mr Jones decides to leave his home country of Trinidad and move permanently to Barbados.

23. In Trinidad Mr Jones would be referred to as

- (A) a refugee
- (B) an emigrant
- (C) an immigrant
- (D) a travelling officer

24. One feature of capital intensive firms is that they

- (A) raise large amounts of capital
- (B) provide capital for other firms
- (C) use more machinery and less people
- (D) use more people and less machinery

25. Which of the following conditions would constitute a linkage between two industries?

- (A) Two firms manufacture similar goods.
- (B) One firm shares the use of machinery with another firm.
- (C) Two firms are responsible for the manufacture of different kinds of goods.
- (D) The output of one industry of the economy becomes the input of another industry.

26. Which of the following results is LEAST likely to occur from growth in an organization?

- (A) Greater productivity
- (B) More division of labour
- (C) Increased communication
- (D) Increased capital investment

27. Which of the following commodities is a product of the manufacturing industry?

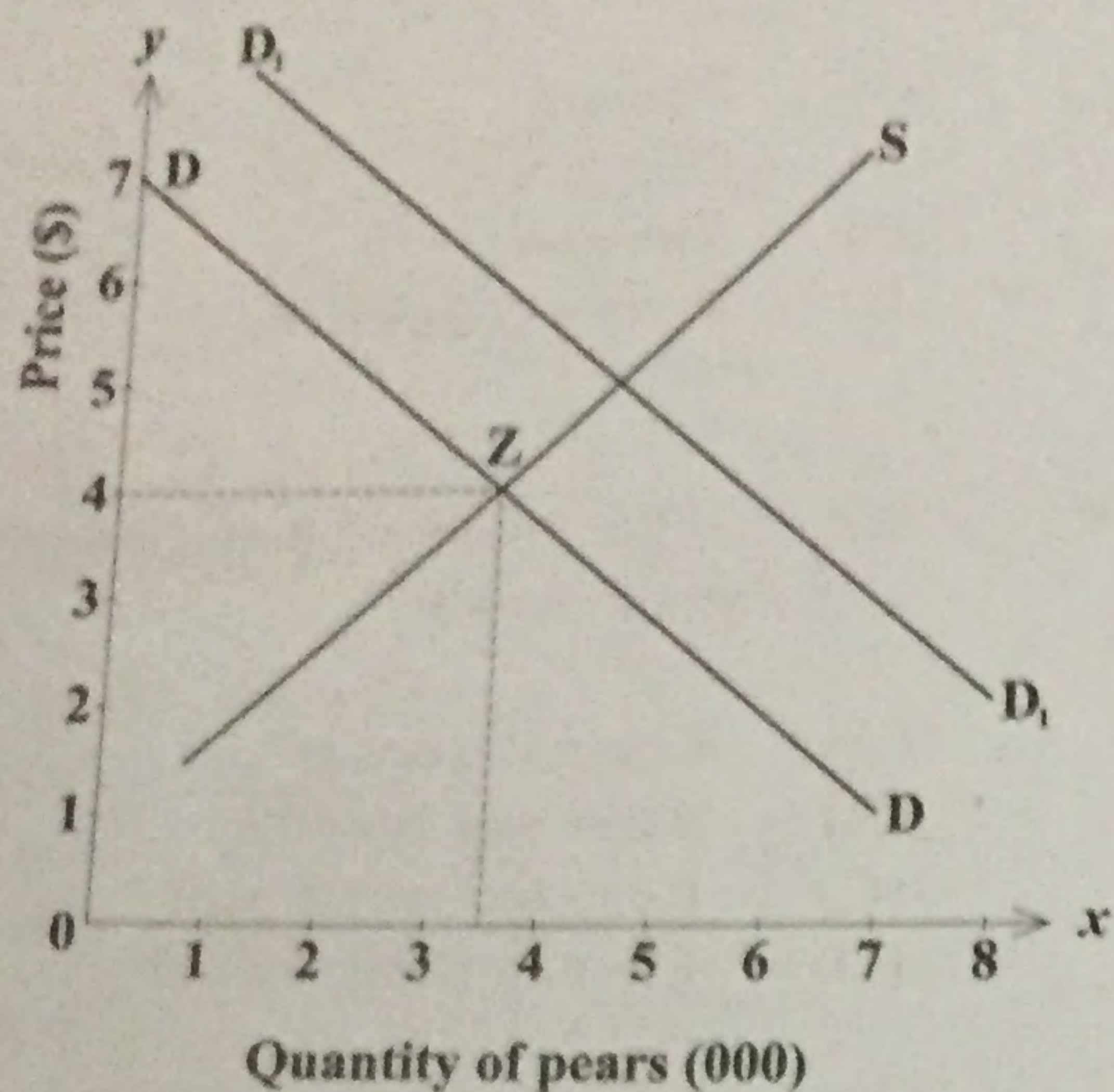
- (A) Cars
- (B) Gold
- (C) Lumber
- (D) Houses

28. The term 'loss leader' is BEST described as a product which

- (A) has no real market value
- (B) the retailer is unable to locate
- (C) is sold cheaply to attract customers
- (D) the retailer gives away to customers

29. Under which of the following conditions is a trade discount used?
- (A) Bulk purchases
 - (B) Prompt payment
 - (C) Payment by cash
 - (D) First-time buyers
30. Which of the following is NOT a terms of sale?
- (A) Cash
 - (B) Credit
 - (C) Shares
 - (D) Hire purchase
31. Which of the following factors is LEAST likely to influence consumer behaviour?
- (A) Product price
 - (B) Brand loyalty
 - (C) Quality of goods
 - (D) Place of residence
32. A situation where a business gains editorial space without having to pay for it is called
- (A) publicity
 - (B) marketing
 - (C) advertising
 - (D) discounting
33. The price of an article is usually high when there is a
- (A) large quantity for sale and few people wanting to buy
 - (B) small quantity for sale and few people wanting to buy
 - (C) large quantity for sale and many people wanting to buy
 - (D) small quantity for sale and many people wanting to buy
34. In a Caribbean territory there is only one supplier that provides electricity to all homes, businesses and communities. What market structure does this BEST illustrate?
- (A) Duopoly
 - (B) Oligopoly
 - (C) Monopoly
 - (D) Perfect competition
35. Which of the following terms is associated with a stock market?
- (A) Costs and prices
 - (B) Risks and benefits
 - (C) Rent and investment
 - (D) Premium and reward
36. Tom invests his savings by buying shares in a company. From this investment Tom expects to receive
- (A) profits
 - (B) interest
 - (C) revenue
 - (D) dividends
37. Mr Jones has several bills of fixed amounts to pay each month. His bank agreed to pay them monthly from Mr Jones' account. This service, provided by the bank, is referred to as
- (A) an overdraft
 - (B) a fixed deposit
 - (C) a standing order
 - (D) a letter of credit
38. One of the MAJOR functions of a Central Bank is to
- (A) issue notes and coins
 - (B) issue stocks and shares
 - (C) accept deposit accounts
 - (D) make loans and advances

Items 39–40 refer to the following diagram which represents the market for pears. The original demand curve is DD.



39. Point Z on the diagram represents the
- price
 - demand
 - equilibrium point
 - equilibrium quantity
40. The equilibrium price is
- \$0.00
 - \$3.50
 - \$4.00
 - \$7.00
41. Which of the following measures may be used by government to protect consumers?
- Price controls
 - Custom duties
 - Provision of subsidies
- I and II only
 - I and III only
 - II and III only
 - I, II and III

42. Governments can influence business activity positively by reducing
- taxes
 - grants
 - spending
 - subsidies

43. Which of the following is NOT regarded as a role of taxation?

- To raise revenue for governments
- To influence the distribution of incomes and wealth
- To influence the investment decisions of publicly owned enterprises
- To influence total expenditure on goods and services

44. Which of the following actions by government is MOST likely to lead to an improvement in the standard of living?

- Printing more money
- Increasing the income tax rate
- Abolishing taxes on low incomes
- Giving tax incentives to businesses

45. Which of the following statements accurately describes taxation as a means of redistributing incomes?

- The rich pay taxes and the poor do not.
- Tax is used to distribute income more efficiently throughout the country.
- Tax is used to spread income evenly between the higher and lower income earners.
- The higher income earners are taxed at a higher rate to provide benefits to lower income earners.

46. Which of the following BEST explains a 'proportional tax'?

- (A) The rate of tax increases as income increases.
- (B) The same rate of tax is paid at all income levels.
- (C) Higher income earners pay a smaller percentage of income in tax than lower income earners.
- (D) Lower income earners pay a larger percentage of income in tax than higher income earners.

Item 47 refers to the following information which shows figures taken from a country's balance of payments accounts.

	Goods	Services
Exports	\$160 m	\$300 m
Imports	\$120 m	\$140 m

47. The country's balance of trade is

- (A) -\$ 120 m
- (B) +\$ 120 m
- (C) -\$ 200 m
- (D) +\$ 200 m

48. In calculating Net National Product, depreciation refers to the

- (A) increase in the price level
- (B) decrease in the price level
- (C) decrease in capital stock value
- (D) increase in capital stock value

49.

Which of the following practices would contribute to the economic growth and development of a country?

- (A) Increased importation of consumer goods
- (B) Decreased use of the country's natural resources
- (C) Exporting skilled personnel to developed countries
- (D) Provision of loans and technical assistance for establishing local businesses

50.

Export licences are issued MAINLY to

- (A) encourage local businesses to produce more goods for export
- (B) enable the government to control the flow of goods being exported
- (C) indicate to the importing country that the goods are of a high standard
- (D) indicate to the importing country the price at which the goods are to be sold

51.

A measure which limits the quantity of goods that citizens of a country are allowed to buy from overseas is known as an

- (A) import duty
- (B) export duty
- (C) export quota
- (D) import quota

52.

Which of the following does NOT contribute to an improved standard of living of a country?

- (A) An increase in capital goods
- (B) An increase in disposable income
- (C) An increase in the country's population
- (D) An increase in investment in technology

53. Which of the following is an example of tariffs?
- (A) Excise duties
 - (B) Property taxes
 - (C) Custom duties
 - (D) Value added taxes
54. Visible trade examines the difference between a country's
- (A) imports and exports of goods only
 - (B) imports and exports of services only
 - (C) current account and capital account
 - (D) output method and expenditure method
55. The term 'economic dualism' refers to an economy in which one sector is
- (A) highly dependent on local capital
 - (B) highly dependent on foreign capital
 - (C) overpopulated while the other is underpopulated
 - (D) technologically advanced while the other is technologically retarded
56. Which of the following is a benefit of the CSME?
- (A) A common trade policy
 - (B) Reduced cost of housing
 - (C) Reduced cost of air travel
 - (D) More equitable distribution of income
57. The purpose of CARICOM is to
- (A) allow member states to collaborate
 - (B) foster interregional trade and common services
 - (C) encourage the transfer of technology within the region
 - (D) allow for unrestricted movement of persons among the territories
58. Which of the following organizations would settle a dispute among banana-producing countries of the Caribbean and Central America over preferential agreement with the European Union?
- (A) World Trade Organization (WTO)
 - (B) Caribbean Development Bank (CDB)
 - (C) CARICOM Single Market and Economy (CSME)
 - (D) Organization of Petroleum Exporting Countries (OPEC)
59. In periods of inflation, the ability to raise additional capital for expansion is MOST likely to be a problem for
- (A) sole traders
 - (B) partnerships
 - (C) public companies
 - (D) multi-national corporations
60. Industrialization is an important strategy in the fight against poverty. Which of the following is a benefit of an increase in the development of industries?
- (A) A reduction in the level of exports
 - (B) A reduction in the level of imports
 - (C) An increase in the level of migration
 - (D) An increase in the rate of unemployment

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.